the amount involved was ₹1.5 crore. If Mundhra was not saved then a large quantity of Mundhra shares were likely to be dumped on the market at distress rates, which would further depress an already depressed share market. At the June 18 meeting, it was decided to reassemble in Bombay on June 22. On June 20, Patel came to Bombay to attend an SBI meeting and Bhattacharya asked him if he would see Mundhra. Patel agreed and a meeting was arranged. Patel asked Mundhra to send a letter listing out his proposals. This Mundhra did, copying the letter to Iengar and Bhattacharya.

At the meeting on June 22, Patel showed Mundhra's letter to T.T.K. in the presence of Iengar and Bhattacharya. It was agreed that LIC would purchase Mundhra shares and T.T.K. approved of Patel taking the matter forward with LIC. The next day Patel, Bhattacharya, and Kamat discussed the issue once again wherein it was decided to purchase Mundhra shares amounting to approximately ₹1 crore. Later, Patel briefed T.T.K. about what had transpired, and the latter while expressing his satisfaction at the LIC's willingness to purchase the shares, also sounded a note of caution since rumours were rife about spurious scrips.

Patel's role in all this ended when he and the LIC top brass, which included Chairman Kamat and Managing Director L.S. Vaidyanathan, met Mundhra and discussed various proposals. Patel handed over all relevant papers to Kamat to process the proposals further. The deal was finalized on June 25 by LIC. In September 1957 Ram Subhag Singh asked a question in the Lok Sabha about ₹1 crore being invested by LIC in a private enterprise with its headquarters in Kanpur. While replying, T.T.K. answered in the negative, which was correct on a literal interpretation of the question but violated the spirit of the query. Patel while preparing a draft reply had favoured a fuller reply, but T.T.K. refused to make a clean breast of it. Had T.T.K. made a full and frank disclosure to Parliament, there might have been a debate, but probably nothing more would have been heard of the matter.

When the Mundhra affair escalated into what was seen as a full-fledged scandal, the government appointed Justice M.C. Chagla in January 1958, to enquire into this issue. T.T.K. was to present a statement, assisted by B.K. Nehru who was Secretary in the Department of Economic Affairs at the time, giving the background of the whole affair and his 'concurrence with both the policy and main details.'[20] But T.T.K. acting reportedly on G.B.